Notes: Faccio (AER, 2006)

Politically Connected Firms

Contents

1 Big picture

- **Question.** How common are corporate political connections around the world, what country characteristics predict them, and do newly formed political connections increase firm value?
- **Core contribution.** The paper builds a cross-country firm-level database of politically connected firms, using direct links between listed firms and politicians across 47 countries.
- **Definition.** A firm is politically connected if a large shareholder controlling at least 10% of votes or a top officer is a member of parliament, a minister, head of state, or closely related to a top politician or political party.
- **Scale.** The sample contains 20,202 publicly traded firms. A strict application of the connection criteria identifies 541 connected firms, less than 3% of all firms, but 7.72% of world stock market capitalization.
- **Country incidence.** Political connections are found in 35 of the 47 sample countries. In some countries, connected firms account for a very large share of market capitalization.
- **Determinants.** Connections are more common in countries with more perceived corruption and more restrictions on residents' cross-border investment. Connections are less common where conflicts-of-interest regulation is stricter.
- **Value of connections.** Event studies around new connections show positive stock-market reactions primarily when businesspeople enter politics, not when politicians join corporate boards.
- **Main event-study result.** The full sample average five-day abnormal return is 1.43%. The return is 2.29% when company large shareholders or officers enter politics and 4.47% when large shareholders enter politics.
- **Interpretation.** Political connections may create value by granting preferential access to public contracts, regulation, financing, taxes, or state-controlled enterprises; however, political rent extraction can offset part of the benefit.
- **Important caveat.** The cross-country incidence results are descriptive, not causal. The event-study evidence is closer to a valuation test, but still measures market perceptions of benefits at connection announcements.

2 Incremental contribution of the paper

2.1 Contribution relative to single-country political-connection studies

- Earlier work often focuses on one country or one type of connection, such as campaign contributions, friendships with political leaders, or ties to ruling parties.
- Faccio contributes a systematic cross-country database that applies the same measurement rule to 47 countries.
- This allows the paper to compare the institutional determinants of connections across countries instead of only studying returns to connections in one political system.

Interpretation: The incremental contribution is breadth and comparability. The paper turns political connections from a set of country case studies into a cross-country empirical object.

2.2 Contribution relative to corruption and rent-seeking research

- The corruption literature documents that political influence and rent seeking can distort markets, but often measures corruption at the country level.

- This paper links country-level institutional variables to firm-level political connections.
- It shows that observable firm-politician links are more common in countries with higher corruption and weaker conflict-of-interest regulation.

Interpretation: The paper bridges institutional economics and corporate finance: political connections become a firm attribute that reflects national institutions.

2.3 Contribution relative to event-study evidence on political rents

- Fisman-style studies infer connection value from shocks to the politician's power or survival.
- Faccio instead studies announcements that create a new connection, such as officers or shareholders entering politics or politicians joining boards.
- The design distinguishes several kinds of connection formation and shows that not all connections are equally valuable.

Interpretation: The paper shows that the direction of connection formation matters. Markets react more positively when businesspeople obtain political office than when politicians are appointed to corporate boards.

2.4 Contribution relative to corporate governance research

- The paper collects conflict-of-interest regulation measures for politicians, including restrictions on ownership, directorships, and personal asset disclosure.
- It then links these regulations to the frequency of corporate political connections.
- This provides evidence that legal restrictions on politicians' private business activity are associated with fewer visible firm-politician ties.

Interpretation: The regulation evidence matters because it suggests that political connections are partly shaped by formal governance institutions, not only informal corruption or culture.

3 Data and measurement

3.1 Firm sample

- The sample begins with all listed firms in Worldscope for countries where the author can identify politicians from government and parliamentary sources.
- The final sample includes 20,202 firms across 47 countries.
- Firm officers are generally identified from Worldscope, which lists the CEO, president, vice-president, chairman, secretary, and sometimes other officers.
- Large shareholders are defined as direct or indirect holders of at least 10% of voting rights.

Interpretation: The database is designed to capture durable and observable formal ties between firms and high-level politicians.

3.2 Political data

- Politicians include members of parliament, ministers, heads of state, and prime ministers.
- Names are collected from official government/parliament websites and the *Chiefs of State* directory.

- Former heads of state or prime ministers from 1997 to 2001 are also used to identify close relationships.
- Matches are manually checked through company reports, biographies, Lexis-Nexis searches, and other sources.

Interpretation: Manual verification is crucial because simple name matching would create false positives, especially when only initials are available.

3.3 Types of political connections

The paper distinguishes three broad connection categories:

1. **Connections with members of parliament:** a top officer or large shareholder is an MP.
2. **Connections with ministers or heads of state:** a top officer or large shareholder is a minister/head of state, or a close family member of such a politician is involved.
3. **Close relationships:** friendships, former political office, politicians who left the firm after 1997, foreign politicians, or known party ties.

Interpretation: The first two categories are more objective. The close-relationship category is broader and more subjective, so the paper reports results both including and excluding it.

3.4 Country-level connection measures

The main country-level connection variables are:

$$ShareConn_c^{MP/Min} = \frac{\#\{\text{firms connected to a minister or MP in country } c\}}{\#\{\text{listed firms in country } c\}}, \tag{1}$$

$$ShareConn_c^{All} = \frac{\#\{\text{firms connected to a minister, MP, or close relationship in country } c\}}{\#\{\text{listed firms in country } c\}}. \tag{2}$$

The paper also studies the fraction of the largest 50 firms that are connected and the market-capitalization share of connected firms.

Interpretation: These measures distinguish prevalence by count from prevalence by economic size.

3.5 Regulatory environment measures

The paper constructs six conflict-of-interest regulatory indicators:

- restrictions on ownership by MPs;
- restrictions on directorships by MPs;
- restrictions on MPs in the constitution;
- restrictions on ownership by ministers;
- restrictions on directorships by ministers;
- restrictions on ministers in the constitution.

It also constructs an aggregate regulatory score from 0 to 6 and a dummy for mandatory asset disclosure.

Interpretation: These variables measure whether politicians are formally restricted from holding private corporate positions or financial interests.

3.6 Other country variables

The determinants analysis uses:

- corruption measures from Kaufmann et al., German exporters' perceptions, and ICRG;
- quality of the legal environment;
- cross-border investment restrictions;
- democracy status since 1950;
- press freedom;
- secondary school enrollment;
- log GDP per capita.

Interpretation: These variables test whether political connections are more common in weak-governance or restricted financial environments.

4 Empirical specifications

4.1 Correlation analysis

The first country-level analysis computes correlations between connection prevalence and institutional variables:

$$\rho(ShareConn_c, X_c), \tag{3}$$

where X_c is a country-level institutional or economic characteristic.

Interpretation: The correlations are descriptive. They show which country traits move with the incidence of connections but do not establish causality.

4.2 Two-boundary Tobit regressions

Because the dependent variables are percentages bounded between 0 and 100, the paper estimates two-boundary Tobit regressions:

$$ShareConn_c^* = \alpha + \beta X_c + \gamma \ln(GDPpc_c) + \varepsilon_c, \tag{4}$$

$$ShareConn_c = \min\{100, \max\{0, ShareConn_c^*\}\}. \tag{5}$$

The main dependent variables are:

- % of firms connected with a minister or MP;
- % of firms connected with a minister, MP, or close relationship;
- % of top 50 firms connected.

Interpretation: The Tobit structure respects the bounded nature of the connection share. The regressions also control for country size/wealth through log GDP per capita.

4.3 Event study for value of connections

The event study examines announcements that create new political connections:

- officers or large shareholders entering politics;
- politicians being appointed to corporate boards.

The abnormal return is computed with a market-adjusted model:

$$AR_{i,t} = R_{i,t} - R_{m(i),t}, \tag{6}$$

where $R_{m(i),t}$ is the Datastream index return for the firm's home country.

The cumulative abnormal return is:

$$CAR_i[-2, +2] = \sum_{t=-2}^{+2} AR_{i,t}. \tag{7}$$

Interpretation: The event window captures stock-market revaluation around the creation of a connection. Positive abnormal returns imply that markets expect the connection to generate net private benefits for shareholders.

5 Identification and interpretation

5.1 What can be learned from the cross-country incidence tests

- The incidence regressions identify systematic covariation between connection prevalence and country institutions.
- They do not prove that corruption causes political connections or that regulation eliminates them.
- The paper is explicit that cross-country results are descriptive.

Interpretation: The country-level analysis is best interpreted as mapping where connections are common and what institutional patterns they correlate with.

5.2 What can be learned from the event study

- The event study is closer to a market-valuation test.
- If the announcement date is unanticipated and clean, the abnormal return measures the market value of the connection.
- The event study shows that connections created by businesspeople entering politics are more valuable than politicians joining boards.

Interpretation: This result suggests that political access in the hands of a controlling shareholder or executive is more valuable than adding a politician to the firm.

5.3 Main limitations

- The data capture observable formal links, not campaign contributions, secret bribes, informal influence, or private lobbying.
- Connections may be measured with error when public records are incomplete.
- Close relationships are partly subjective, which is why the paper separates them from stricter definitions.
- Event-study results may be contaminated if political entry is anticipated or occurs with other news.

Interpretation: The paper's data are valuable precisely because they are observable and cross-country, but invisible political influence remains outside the measurement framework.

6 Tables and figures

6.1 Tables 1 and 3: connection classification and regulation index

Read:

- Table 1 shows how the 607 identified connections are classified.
- Connections with MPs account for 59.6% of all identified connections.
- Connections with ministers account for 15.5%.
- Close relationships account for 24.9%, with political party connections being the largest subcategory.
- Table 3 reports the conflict-of-interest regulation index by country.
- Regulation scores range from 0 to 6. Higher scores imply more restrictions on politicians' ownership, directorships, and business activities.

Economic message: The first table defines the firm-level object; the second defines the country-level institutional environment that predicts where connections appear.

TABLE 1—CLASSIFICATION OF CONNECTIONS BY TYPE

	Connections through large shareholder	Connections through top officer	Total	(%)
Connections with MPs	45	317	362	*59.6*
Connections with ministers	64	30	94	*15.5*
Closely related firms	137	14	151	*24.9*
Of which:				
Cases of friendship	*10*	*1*	*11*	*1.8*
Former heads of state or prime ministers	*12*	*5*	*17*	*2.8*
Current politicians who have left the firm after 1997	*0*	*2*	*2*	*0.3*
Foreign politicians	*2*	*6*	*8*	*1.3*
Political parties	*113*	*0*	*113*	*18.6*
Total	246	361	607	
(%)	*40.5*	*59.5*		

Notes: Connections with MPs include firms whose large shareholder or top officer of the company sits in a national parliament. *Connections with ministers* include firms with a shareholder controlling at least 10 percent of the voting stock or a top officer who holds a government office, is king or president of the country. *Closely related firms* are those with a shareholder controlling at least 10 percent of the voting stock or a top officer who has a close relationship with at least one top politician. Close relationships include: (a) friends, (b) former heads of state or prime ministers (and their relatives), (c) current politicians who have left the firm after 1997, (d) foreign politicians, and (e) well-known cases of relationships with political parties. *Connections through large shareholder* include those cases in which a shareholder controlling at least 10 percent of the firm's voting stock sits in a national parliament, holds office in the government, is the head of state, or is closely related to a top politician or political party. *Connections through top officer* include those cases in which a company's top officer sits in a national parliament, holds office in the government, is the head of state, or is closely related to a top politician or political party.

Table 1: classification of connection types

TABLE 3—REGULATION INDEX

	Restrictions on ownership by MPs	Restr. on directorships by MPs	Restrictions on MPs in constitution	Restrictions on own. by ministers	Restrictions on directorships by ministers	Restrictions on ministers in constitution	Regulatory score	Mandatory disclosure of assets
Argentina	0	1^{CI}	0	0	1^{CI}	0	2	1
Australia	0	0	0	1^{CI}	1^{TOT}	0	2	1
Austria	1^{A}	1^{A}	0	0	0	0	2	1
Belgium	0	0^{GOV}	0	0	0	0	0	0
Brazil	1^{CI}	$1^{R,CI}$	1	0	1^{TOT}	0	4	1
Canada	0	0	0	$1^{CI,A}$	$1^{R,A}$	0	2	0
Chile	0	1^{TOT}	1	0	0	0	2	0
Colombia	0	1^{CI}	1	0	1^{CI}	1	4	0
Czech Rep.	0	0^{GOV}	0	0	0	0	0	1
Denmark	0	0	0	0	1^{TOT}	0	1	0
Finland	0	0	0	0	1^{CI}	0	1	0
France	0	$1^{GOV,CI}$	0	0	0	1	2	1
Germany	0	0	0	0	1^{A}	1	2	1
Greece	0	1^{CI}	1	0	1^{CI}	1	4	0
Hong Kong	0	0	0	0	1^{A}	0	1	1
Hungary	0	0	0	0	1^{CI}	0	1	1
India	0	0	0	0	0	0	0	0
Indonesia	0	0	0	0	0	0	0	1
Ireland	1^{CI}	$1^{R,CI}$	0	1^{CI}	$1^{R,CI}$	0	4	1
Israel	0	$1^{R,CI}$	1	0	$1^{R,CI}$	1	4	1
Italy	0	0^{GOV}	0	0	0	0	0	1
Japan	0	0	0	0	0	0	0	1
Luxembourg	0	0^{GOV}	0	0	0	0	0	0
Malaysia	0	0	0	0	0	0	0	0
Mexico	0	0	0	0	0	0	0	0
Netherlands	0	0	0	0^{GOV}	1^{TOT}	0	1	0
New Zealand	0	0	0	1^{CI}	1^{CI}	0	2	1
Norway	0	0	0	0	$1^{A,CI}$	0	1	0
Peru	1^{CI}	1^{CI}	1	1^{TOT}	1^{TOT}	1	6	0
Philippines	$1^{GOV,CI}$	$1^{GOV,CI}$	1	1^{CI}	$1^{GOV,CI}$	1	6	1
Poland	0^{GOV}	0^{GOV}	1	0	0	0	1	1
Portugal	1^{CI}	1^{TOT}	0	0	0	0	2	1
Russia	0	1^{R}	1	0	0	0	2	0
Singapore	0	0	0	1^{CI}	1^{A}	1	3	0
South Africa	0	0	0	1^{CI}	$1^{R,CI}$	1	3	1
South Korea	0	1^{TOT}	0	0	0	0	1	0
Spain	0	0	0	1^{TOT}	1^{TOT}	1	3	1
Sri Lanka	0	1	1	0	0	0	2	1
Sweden	0	0	0	0	1^{CI}	0	1	0
Switzerland	0	0^{GOV}	0	1	1	0	2	1
Taiwan	0	0^{GOV}	0	0	0	0	0	1
Thailand	0	0^{GOV}	0	1^{CI}	1^{TOT}	1	3	1
Turkey	0	1^{CI}	1	0	1^{CI}	1	4	1
UK	0	0	0	1^{CI}	1^{TOT}	0	2	1
US	1^{CI}	$1^{R,CI}$	0	$1^{CI,A}$	$1^{CI,A}$	0	4	1
Venezuela	0	0^{GOV}	0	0	0	0	0	1
Zimbabwe	0	0	0	0	1^{R}	1	2	0

^{A} indicates a restriction that can be waived by obtaining a special *authorization.*
^{CI} indicates a restriction applying to possible *conflicts of interest,* or where the firm obtains benefits from the government.
^{GOV} indicates some minor restrictions applying to *government-controlled* firms.
^{R} indicates major restrictions, although the politician may hold non-*remunerated* directorships.
^{TOT} indicates that MPs/ministers are *totally* forbidden to hold directorships. Regulation variables are defined in Section II.

Table 3: regulation index

6.2 Table 2: distribution of politically connected firms across countries

Read:

- Table 2 reports country-level prevalence of political connections.
- Across all countries, 1.98% of firms are connected to a minister or MP, and 2.68% are connected when close relationships are included.
- Connected firms account for 7.72% of total market capitalization.
- In some countries the capitalization share is very large, such as Russia and Thailand.

- The continuation panel decomposes connections into ownership and directorship channels.

Economic message: Political connections are rare by number of firms but important by market capitalization, especially in countries where connected firms are very large.

TABLE 2—COUNTRY DISTRIBUTION OF FIRMS WITH POLITICAL CONNECTIONS

	No. of firms with available data	No. of firms connected with a minister or MP	% of firms connected with a minister or MP	No. of firms connected through close relationships	% of firms connected with a minister or MP, or a close relationship	% of top 50 firms connected with a minister or MP, or a close relationship	Connected firms as % of market capitalization
Argentina	38	0	0.00	0	0.00	0.00	0.00
Australia	287	2	0.70	0	0.70	0.00	0.32
Austria	110	1	0.91	0	0.91	2.00	0.25
Belgium	157	6	3.82	0	3.82	8.00	18.77
Brazil	167	0	0.00	0	0.00	0.00	0.00
Canada	534	7	1.31	0	1.31	2.00	2.53
Chile	89	2	2.25	0	2.25	4.00	1.43
Colombia	32	0	0.00	0	0.00	0.00	0.00
Czech Rep.	63	0	0.00	0	0.00	0.00	0.00
Denmark	228	7	3.07	0	3.07	6.00	2.52
Finland	132	2	1.52	0	1.52	0.00	0.14
France	914	16	1.75	4	2.19	10.00	8.03
Germany	840	11	1.31	2	1.55	2.00	1.20
Greece	153	1	0.65	0	0.65	0.00	0.09
Hong Kong	405	3	0.74	5	1.98	6.00	2.33
Hungary	27	1	3.70	0	3.70	3.85	2.81
India	323	9	2.79	0	2.79	2.00	1.83
Indonesia	154	12	7.79	22	22.08	24.00	12.76
Ireland	82	2	2.44	0	2.44	4.00	22.83
Israel	55	2	3.64	0	3.64	4.26	8.13
Italy	233	24	10.30	0	10.30	16.00	11.27
Japan	2,395	31	1.29	1	1.34	2.00	1.34
Luxembourg	23	1	4.35	0	4.35	4.55	10.48
Malaysia	445	23	5.17	65	19.78	44.00	28.24
Mexico	94	6	6.38	2	8.51	12.00	8.14
Netherlands	238	1	0.42	0	0.42	0.00	0.01
New Zealand	50	0	0.00	0	0.00	0.00	0.00
Norway	206	0	0.00	0	0.00	0.00	0.00
Peru	37	0	0.00	0	0.00	0.00	0.00
Philippines	114	1	0.88	4	4.39	8.00	16.16
Poland	57	0	0.00	0	0.00	0.00	0.00
Portugal	101	3	2.97	0	2.97	4.00	2.00
Russia	25	3	12.00	2	20.00	36.36	86.75
Singapore	229	18	7.86	0	7.86	4.00	2.59
South Africa	212	0	0.00	0	0.00	0.00	0.00
South Korea	313	7	2.24	1	2.56	4.00	8.95
Spain	200	3	1.50	0	1.50	0.00	0.82
Sri Lanka	18	0	0.00	0	0.00	0.00	0.00
Sweden	280	3	1.07	0	1.07	4.00	1.02
Switzerland	243	6	2.47	0	2.47	4.00	0.69
Taiwan	237	2	0.84	6	3.38	10.00	12.74
Thailand	279	23	8.24	19	15.05	34.00	41.62
Turkey	84	1	1.19	0	1.19	0.00	0.14
UK	2,149	154	7.17	0	7.17	46.00	39.02
US	7,124	6	0.08	8	0.20	6.00	4.94
Venezuela	18	0	0.00	0	0.00	0.00	0.00
Zimbabwe	8	0	0.00	0	0.00	0.00	0.00
All countries	20,202	400	1.98	141	2.68	6.92	7.72

Table 2, part 1: country distribution

TABLE 2—*Continued.*

	Total number of connections	Of which: Ownership		Directorship	
		N	%	*N*	%
Argentina	0	.	.	.	.
Australia	2	0	0.0	2	100.0
Austria	1	0	0.0	1	100.0
Belgium	6	0	0.0	6	100.0
Brazil	0	.	.	.	.
Canada	7	0	0.0	7	100.0
Chile	2	0	0.0	2	100.0
Colombia	0	.	.	.	.
Czech Rep.	0	.	.	.	.
Denmark	7	0	0.0	7	100.0
Finland	2	0	0.0	2	100.0
France	22	10	45.5	12	54.5
Germany	16	5	31.3	11	68.8
Greece	1	0	0.0	1	100.0
Hong Kong	8	5	62.5	3	37.5
Hungary	1	0	0.0	1	100.0
India	10	2	20.0	8	80.0
Indonesia	34	34	100.0	0	0.0
Ireland	3	0	0.0	3	100.0
Israel	2	0	0.0	2	100.0
Italy	29	21	72.4	8	27.6
Japan	35	4	11.4	31	88.6
Luxembourg	1	0	0.0	1	100.0
Malaysia	94	87	92.6	7	7.4
Mexico	8	2	25.0	6	75.0
Netherlands	1	0	0.0	1	100.0
New Zealand	0	.	.	.	.
Norway	0	.	.	.	.
Peru	0	.	.	.	.
Philippines	6	5	83.3	1	16.7
Poland	0	.	.	.	.
Portugal	3	1	33.3	2	66.7
Russia	7	2	28.6	5	71.4
Singapore	19	10	52.6	9	47.4
South Africa	0	.	.	.	.
South Korea	8	1	12.5	7	87.5
Spain	3	1	33.3	2	66.7
Sri Lanka	0	.	.	.	.
Sweden	3	0	0.0	3	100.0
Switzerland	7	0	0.0	7	100.0
Taiwan	9	6	66.7	3	33.3
Thailand	46	37	80.4	9	19.6
Turkey	1	0	0.0	1	100.0
UK	189	13	6.9	176	93.1
US	14	0	0.0	14	100.0
Venezuela	0	.	.	.	.
Zimbabwe	0	.	.	.	.
All countries	607	246	40.5	361	59.5

Notes: No. of firms with available data is the number of firms included in Worldscope. *No. of firms connected with a minister or MP* is the number of firms with a shareholder controlling at least 10 percent of the voting stock or a top officer who is a member of parliament or government, excluding close relationships. *% of firms connected with a minister or MP* is the number of firms connected with a minister or MP as a proportion of the total number of firms in a given country. *No. of firms connected through close relationships* is the number of firms with a shareholder controlling at least 10 percent of the voting stock or a top officer who is a member of parliament or government, plus all identified cases of close relationships. *% of firms connected with a minister or MP, or a close relationship* is the number of all connected firms as proportion of the total number of firms in a particular country. *% of top 50 firms connected with a minister or MP, or a close relationship* is the number of connected firms as proportion of the largest 50 firms (based on end of 1997 market capitalization) in a particular country. For countries with fewer than 50 firms in the sample, this fraction is computed based on the available companies. *Total number of connections* is the overall number of connections identified in a given country. If two officers of the same company sit as ministers, the number of connections would be two, while the number of connected firms would be one. *Ownership* and *directorship* denote whether the company is connected through a large shareholder or through a top officer.

Table 2, part 2: ownership versus directorship

6.3 Tables 4 and 5: determinants of political connections

Read:

- Table 4 reports simple correlations. Connections are positively correlated with corruption measures and cross-border investment restrictions, and negatively correlated with the regulatory score.
- Table 5 reports two-boundary Tobit regressions.
- Cross-border restrictions are generally positively associated with political connections.
- The regulatory score is generally negatively associated with political connections.
- ICRG corruption is positive and significant in several specifications.
- Adding regional dummies does not eliminate the negative relation between regulation and connections.

Economic message: Connections are more common where political rents are valuable and less common where formal conflict-of-interest restrictions are stronger.

TABLE 4—DETERMINANTS OF THE FREQUENCY OF CONNECTIONS (CORRELATION COEFFICIENTS)

	Kaufmann et al. corruption	German corruption	Corruption ICRG	Quality of legal environment	Cross-border restrictions	Democratic in all years since 1950
% of firms connected with a minister or MP	0.10	0.22	0.11	−0.06	0.25	0.00
% of firms connected with a minister or MP, or a close relationship	0.27	0.38	0.32	−0.23	0.41	−0.18
% of top 50 firms connected with a minister or MP, or a close relationship	0.14	0.22	0.12	−0.06	0.29	−0.05

	Press freedom index	Secondary school enrollment	Ln{GDP (per capita)}	Regulatory score	Mandatory disclosure of assets
% of firms connected with a minister or MP	0.28	0.04	−0.02	−0.22	−0.13
% of firms connected with a minister or MP, or a close relationship	0.42	−0.08	−0.23	−0.23	−0.09
% of top 50 firms connected with a minister or MP, or a close relationship	0.33	0.07	−0.10	−0.16	−0.01

Notes: % of firms connected with a minister or MP is the ratio of firms connected with a minister or MP as a proportion of the total number of firms in a given country. *% of firms connected with a minister or MP, or a close relationship* is the number of all connected firms as a proportion of the total number of firms in a particular country. *% of top 50 firms connected with a minister or MP, or a close relationship* is the number of connected firms as proportion of the largest 50 firms (based on end-of-1997 market capitalization) in a particular country. For countries with fewer than 50 firms in the sample, this fraction is computed based on the available companies. Kaufmann et al. (1999a, b) corruption is defined as the exercise of public power for private gains, and measures various aspects, ranging from the frequency of "additional payments to get things done" to the effects of corruption on the business environment. "The indicator reflects the statistical compilation of perceptions of the quality of governance of a large number of survey respondents in industrial and developing countries, as well as nongovernmental organizations, commercial risk rating agencies, and think tanks during 1997 and 1998." Originally scaled from about −2.5 to 2.5; rescaled from 0 to 10, with higher scores for higher corruption. Source: Kaufmann et al. (1999a, b), *http://www.worldbank.org/wbi/governance/datasets.html#dataset*. *German corruption* is the German exporters' corruption index developed by Neumann (1994). The index ranges from 0 to 5, with higher scores denoting higher levels of corruption. *Corruption ICRG* is the International Country Risk Guide's assessment of the corruption in government. Higher scores indicate "high government officials are likely to demand special payments" and "illegal payments are generally expected throughout lower levels of government" in the form of "bribes connected with import and export licenses, exchange controls, tax assessment, policy protection, or loans." Average of the months of April and October of the monthly index between 1982 and 1995. Scale from 0 to 10; the original scale is inverted so that lower scores correspond to lower levels of corruption (source: La Porta et al., 1998). *Quality of legal environment* is the average between *efficiency of the judicial system* and *rule of law*. *Efficiency of the judicial system* is an assessment of the "efficiency and integrity of the legal environment as it affects business, particularly foreign firms" produced by the country-risk rating agency Business International Corporation. It "may be taken to represent investors' assessments of conditions in the country in question." Average between 1980 and 1983. Scale from 0 to 10, with lower scores for lower efficiency levels (source: Mauro, 1995). *Rule of law* is an assessment of the law-and-order tradition in the country produced by the country-risk rating agency International Country Risk. Average of the months of April and October of the monthly index between 1982 and 1995. Scale from 0 to 10, with lower scores for lower efficiency levels (source: La Porta et al., 1998, and World Bank, *http://www.worldbank.org/wbi/governance/datasets.html#dataset*). *Cross-border restrictions* is a dummy variable that equals 1 if there is any restriction on the purchase of securities or outward direct investment in a specific country, and zero otherwise (source: IMF, "Exchange Arrangements and Exchange Restrictions"). *Democratic in all years since 1950* is dummy variable that equals 1 if (i) the executive is elected, (ii) the legislature (at least its lower house) is elected, (iii) more than one party contests elections, and (iv) during the last three elections of the executive there has been at least one turnover of power between parties (source: Treisman, 2000). *Press freedom index* measures the amount of freedom journalists and the media have in each country and the efforts made by governments to see that press freedom is respected. Reporters without Borders sent a questionnaire based on the main criteria for such freedom and asking for details of direct attacks on journalists (such as murders, imprisonment, physical assaults, and threats) and on the media (censorship, confiscation, searches, and pressure). It also asked about the degree of impunity enjoyed by those responsible for such violations. The index of press freedom is a portrait of the situation based on events between September 2001 and October 2002. Scale from 0 to 100, with lower scores for more freedom (source: Reporters without Borders, "Worldwide Press Freedom Index," *http://www.rsf.fr/article.php3?id_article=4118*). The original index is not available for Luxembourg (replaced in the sample with the average between France and Belgium), New Zealand (replaced in the sample with Australia, and Singapore). *Secondary school enrollment* is the ratio of the number of children of official school age (as defined by the national education system) who are enrolled in school to the population of the corresponding official school age. Secondary education completes the provision of basic education that began at the primary level and aims at laying the foundations for lifelong learning and human development by offering more subject- or skill-oriented instruction using more specialized teachers. Average 1987–1999 (source: World Bank, *http://sima-ext.worldbank.org/query/*). *Ln{GDP (per capita)}* is the natural log of gross domestic product (in US$) on a purchasing-power-parity basis divided by population; computed for 1999 (source: World Bank, *http://sima-ext.worldbank.org/query/*). *Regulatory score* is formed by adding: (i) restrictions on ownership by MPs, (ii) restrictions on directorships by MPs, (iii) restrictions on MPs in constitution, (iv) restrictions on ownership by ministers, (v) restrictions on directorships by ministers, (vi) restrictions on ministers in constitution. The index ranges from 0 to 6 (source: Table 3). *Mandatory disclosure of assets* is a dummy variable that takes the value of 1 if government officials are required to declare personal assets and zero otherwise (source: Table 3).

TABLE 5—DETERMINANTS OF THE FREQUENCY OF CONNECTIONS: TWO-BOUNDARY TOBIT REGRESSION ESTIMATES

	Dep. var.: % of firms connected with a minister or MP						
Indep. variables:	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Kaufmann et al. corruption	0.41						
	(0.53)						
German corruption		0.95					
		(0.11)					
Quality of legal environment			−0.31				
			(0.53)				
Cross-border restrictions				3.73			
				(0.02)			
Democratic in all years since 1950					1.14		
					(0.21)		
Press freedom index					0.14		
					(0.08)		
Secondary school enrollment						0.12	
						(0.19)	
Regulatory score							−0.49
							(0.16)
Mandatory disclosure of assets							−0.71
							(0.55)
Ln{GDP (per capita)}	1.34	2.00	1.24	2.09	1.58	−3.67	0.34
	(0.35)	(0.14)	(0.38)	(0.02)	(0.22)	(0.18)	(0.67)
Intercept	−12.25	−18.67	−7.66	−19.20	−15.56	28.09	0.00
	(0.42)	(0.17)	(0.48)	(0.03)	(0.23)	(0.19)	(1.00)
N obs.	47	45	42	46	46	43	47
R^2 adj. (%)	<0	0.27	<0	1.31	5.22	1.77	<0

	Dep. var.: % of firms connected with a minister or MP			Dep. var.: % of firms connected with a minister or MP, or a close relationship		
Indep. variables	(8)	(9)	(10)	(11)	(12)	(13)
Kaufmann et al. corruption	0.36			−0.23		
	(0.53)			(0.97)		
German corruption		1.00			1.20	
		(0.08)			(0.18)	
Corruption ICRG			1.50			2.20
			(0.00)			(0.01)
Cross-border restrictions	2.70	1.94	2.28	5.73	4.51	4.74
	(0.03)	(0.13)	(0.07)	(0.02)	(0.07)	(0.06)
Democratic in all years since 1950	1.63	1.88	2.35	0.88	1.71	2.42
	(0.16)	(0.07)	(0.00)	(0.66)	(0.39)	(0.19)
Secondary school enrollment	0.03	0.03	0.04	0.09	0.11	0.13
	(0.39)	(0.43)	(0.12)	(0.16)	(0.16)	(0.08)
Regulatory score	−0.58	−0.62	−0.73	−1.11	−1.08	−1.33
	(0.02)	(0.01)	(0.00)	(0.05)	(0.04)	(0.00)
Ln{GDP (per capita)}	0.66	1.31	2.74	−1.54	−0.72	1.93
	(0.57)	(0.38)	(0.02)	(0.56)	(0.82)	(0.50)
Intercept	−8.35	−14.74	−31.64	10.25	−1.24	−31.00
	(0.49)	(0.27)	(0.01)	(0.69)	(0.96)	(0.26)
N obs.	43	42	42	43	42	42
R^2 adj. (%)	10.40	24.81	32.12	16.40	23.67	29.13

Table 5, part 1: Tobit estimates

TABLE 5—*Continued.*

	Dep. var.: % of top 50 firms connected with a minister or MP, or a close relationship			Dep. var.: % of firms connected with a minister or MP. Robustness test: Addition of regional dummies		
Indep. variables	(14)	(15)	(16)	(17)	(18)	(19)
Kaufmann et al. corruption	−0.71			0.13		
	(0.76)			(0.83)		
German corruption		0.76			0.70	
		(0.78)			(0.39)	
Corruption ICRG			3.97			1.32
			(0.03)			(0.01)
Cross-border restrictions	16.62	15.33	13.90	2.47	1.56	1.91
	(0.02)	(0.03)	(0.04)	(0.01)	(0.22)	(0.05)
Democratic in all years since 1950	4.36	5.54	7.60	0.84	1.28	1.58
	(0.44)	(0.31)	(0.17)	(0.51)	(0.32)	(0.06)
Secondary school enrollment	0.25	0.29	0.33	−0.03	−0.03	−0.01
	(0.14)	(0.17)	(0.09)	(0.26)	(0.43)	(0.76)
Regulatory score	−2.24	−2.10	−2.54	−0.45	−0.52	−0.62
	(0.07)	(0.07)	(0.02)	(0.02)	(0.03)	(0.00)
Ln{GDP (per capita)}	−1.74	−0.99	4.99	0.80	1.56	2.65
	(0.77)	(0.90)	(0.45)	(0.53)	(0.43)	(0.05)
Europe				−3.24	−11.42	−25.15
				(0.81)	(0.53)	(0.08)
North America				−3.68	−11.52	−26.20
				(0.79)	(0.53)	(0.07)
South America				−7.97	−15.69	−29.97
				(0.58)	(0.41)	(0.03)
Asia				−3.28	−10.88	−25.87
				(0.81)	(0.54)	(0.07)
Austral. & New Zealand				−6.14	−14.05	−28.08
				(0.64)	(0.44)	(0.05)
Africa				−27.03	−32.91	−44.76
				(0.05)	(0.05)	(0.00)
Intercept	−1.13	−15.42	−83.76			
	(0.98)	(0.82)	(0.19)			
N obs.	43	42	42	43	42	42
R^2 adj. (%)	<0	<0	<0	41.27	47.56	54.60

Notes: All variables are defined in Table 4. The *p*-values, reported in parentheses below the coefficients, are computed using Huber/White correction for heteroskedasticity (see White, 1980).

Table 5, part 2: continuation and regional dummies

6.4 Table 6: stock-market value of new political connections

Read:

- The full sample five-day average CAR is 1.43%, with $p = 0.09$.
- Politicians appointed to corporate boards have an insignificant average CAR of -0.53%.
- Company large shareholders and officers entering politics have an average CAR of 2.29%, significant at about the 5% level.
- Large shareholders entering politics have an average CAR of 4.47%, significant at about the 2% level.
- Connections are more valuable in high-corruption countries: the average CAR is 4.32% above the sample-median corruption level and approximately zero below it.

Economic message: Markets value political connections most when the connection gives a corporate insider direct political power, especially in environments where political rents are likely larger.

TABLE 6—THE VALUE OF CONNECTIONS

	N. Obs.	Average CAR (%)	(p-value)
Panel A: Overall results			
Full sample	157	1.43	(0.09)
Panel B: Results by the way the connection is established			
Appointments of politicians on corporate boards	48	−0.53	(0.27)
Company large shareholders and officers entering politics	109	2.29	(0.05)
Panel C: Officers versus large shareholders entering politics			
Large shareholders entering politics	15	4.47	(0.02)
Officers entering politics	94	1.94	(0.15)
Panel D: Officers and large shareholders taking on higher versus lower political office			
Appointment or election as a minister (either directly or through a close relationship)	10	12.31	(0.32)
Appointment or election as an MP	99	1.28	(0.02)
Panel E: Results by level of corruption (Kaufmann et al. corruption measure)			
Countries with corruption $\geq$ sample median	58	4.32	(0.08)
Countries with corruption $<$ sample median	51	−0.02	(0.97)

Notes: Abnormal (%) returns are computed using a standard market-adjusted approach. The event window goes from day -2 to day $+2$. The event date is defined as the election date (or date of appointment of the politician, if different) in the case of officers/large shareholders elected as politicians, and as the date the appointment was announced, in the case of appointment of politicians to the board. Datastream's index for the connected company's home country is used as the measure of market returns. Panels C through E focus on the subsample of 109 elections (of large shareholders and/or officers to political office). Standard errors are corrected for clustering in the election dates.

7 Short summary

- The paper builds a global database of politically connected firms.
- It covers 20,202 listed companies in 47 countries.
- A firm is connected if a large shareholder or top officer is a politician or closely related to one.
- Strict criteria identify 541 connected firms.
- Connected firms represent less than 3% of firms but 7.72% of world market capitalization.
- Connections are more common in high-corruption countries and countries with cross-border investment restrictions.
- Connections are less common where conflict-of-interest regulation is stricter.

- Event studies show positive value effects when businesspeople enter politics.
- Politicians joining boards do not generate the same positive valuation effect.
- The value of new connections is larger in high-corruption countries.

8 Conclusion

8.1 Core conclusion

Faccio shows that political connections are observable, widespread, and economically meaningful across countries. They are not simply anecdotal features of a few emerging markets. Connected firms are relatively few in number but large in market capitalization, and their prevalence varies systematically with institutions.

8.2 Economic intuition

Political connections are valuable when they create access to rents: preferential regulation, financing, contracts, taxation, or protection from competition. But connections are costly if politicians extract rents or if regulation limits the ability of politicians to combine public office with private corporate interests. This trade-off explains why connections are more common in weak-governance environments and less common under stronger conflict-of-interest regulation.

8.3 Takeaway

The paper turns political connections into a measurable global corporate finance variable. Its main message is that political ties matter for firm value, especially when corporate insiders obtain political power and when the institutional environment makes political rents valuable.